BERNSTEIN
SOCIETE GENERALE GROUP

17 July 2026

India Autos

India EVs : The Market Structure Question - Lessons from ICE

Venugopal Garre
+65 6326 7643
venugopal.garre@bernsteinsg.com

Param Shah
+91 226 842 1417
param.shah@bernsteinsg.com

EV penetration is accelerating in two-wheelers, with a wave of new launches expected. As competition intensifies, will EV market-share leadership see rapid reshuffling? Will shares be more fragmented than ICE, and will success be driven by a new set of rules? We examine lessons from ICE history and assess how the EV landscape may unfold.

The broad ICE playbook: The Indian 2W market is highly concentrated despite its scale. More than 20 million units are sold annually across ~80 brands, yet just 10 brands account for two-thirds of volumes, while the top three have ~40% share. This structure has remained remarkably stable for decades. New launches arrive once in a while, but few achieve lasting success. The reason lies in how Indian consumers buy two-wheelers. For many households, a motorcycle or scooter is either an income-generating asset or the primary mode of transport. Purchasing decisions therefore prioritize reliability, resale value, service reach, and low running costs over novelty. Once a model gains scale, its installed base becomes a powerful competitive advantage. Larger ownership bases support denser service networks, stronger resale values, greater mechanic familiarity, and higher buyer confidence, reinforcing future demand. Success compounds over time, allowing a handful of models to become the market's default choices.

How does the flywheel differ across categories? The flywheel operates differently across two distinct parts of the 2W market, 1) In commuter motorcycles (≤125cc) and family scooters, success is driven by cost competitiveness, manufacturing scale, and distribution. Product superiority matters, but rarely displaces incumbents quickly because buyers prioritize proven ownership economics over novelty. As a result, a single successful model can dominate a segment for years. 2) Franchise categories: the dynamics are different in categories created or defined by an OEM. Bajaj built sports commuting with Pulsar, Honda redefined family scooters with Activa, and Royal Enfield created the modern leisure motorcycling segment. Here, success extends beyond product attributes. Brand equity, community engagement, and consumer identity become critical competitive advantages. While competitors can replicate the product, replicating the surrounding ecosystem is far more difficult.

What could the EV market structure look like?: While EVs introduce a new technology, the drivers of success are unlikely to change dramatically. In commuter segments, value-for-money, durability, service reach, and distribution will remain critical. In premium segments, brand, product differentiation, and customer identity will matter more. The key difference is that EVs have lower entry barriers. Shorter development cycles and outsourced components such as batteries and motors will lead to far more product launches than in ICE. As a result, the mass market is likely to be more fragmented, with multiple OEMs sharing leadership rather than one dominant winner emerging. Motorcycles may see a different trajectory from scooters, as matching the affordability and utility of entry-level ICE remains challenging. A single OEM can pull meaningfully ahead if it develops a structural cost advantage in key cost components (battery cell, motors) along with ensuring that product quality, service network is strong. In premium EVs, we expect many launches and this should create segment-specific winners, potentially across more niches than in ICE, albeit with smaller volumes per segment.

First Published: 16 Jul 2026 21:30 UTC Completion Date: 16 Jul 2026 16:37 UTC

BERNSTEIN TICKER TABLE

			16 Jul 2026		TTM		Adjusted EPS			Adjusted P/E (x)		
			Closing	Price	Rel.							
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2026A	2027E	2028E	2026A	2027E	2028E
BJAUT.IN (Bajaj Auto)	O	INR	10,332	11,500	(10.2)%	INR	386.25	409.45	471.05	26.7	25.2	21.9
HMCL.IN (Hero MotoCorp)	M	INR	4,898.00	5,010.00	(24.0)%	INR	269.77	273.44	313.43	18.2	17.9	15.6
TVSL.IN (TVS Motor)	M	INR	3,563.50	3,460.00	(10.4)%	INR	76.97	100.78	118.73	46.3	35.4	30.0
EIM.IN (Eicher Motors)	M	INR	7,418.50	7,000.00	(2.9)%	INR	203.46	227.92	266.94	36.5	32.5	27.8
ASIAX			1,947.71									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

EV leadership is still evolving. Today's leaders benefit from strong brands and distribution networks, but competitive positions are far from fixed. In both the mass-market and premium segments, there remains meaningful scope for market leadership to change over time.

This leads to the key investment question: which OEMs are best positioned to win in two very different markets — a large mass market built around trusted, default products, and a premium electric segment where industry leadership is still being established? Below are our views on the four 2W stocks under coverage.

Bajaj Auto (Outperform): Bajaj is uniquely positioned across every major part of the industry's future. It remains highly competitive in the mass market, has already built Chetak into one of the leading electric brands, and has potential exposure to the emerging premium EV segment through its partnerships with Triumph and KTM.
Equally important, Bajaj's strong ICE franchise continues to generate substantial cash flows, giving it the financial flexibility to invest aggressively in both today's electric transition and tomorrow's premium opportunities.

With a strong existing franchise, credible optionality in segments where leadership is still undecided, and the financial capacity to pursue both, Bajaj appears best placed among the incumbents.

TVS Motor (Market-Perform): TVS has managed the electric transition better than most incumbents. The success of iQube reflects what has historically worked in Indian two-wheelers: a trusted product supported by scale, distribution and strong execution.
That said, the mass-market EV segment is attracting several well-positioned competitors with similar strengths. As a result, sustained market leadership may be harder to defend and excess returns may be limited.

While we continue to view TVS as a high-quality operator, much of its execution success is already reflected in valuations. We would look for a more attractive entry point before becoming more constructive.

Eicher Motors (Market-Perform): Royal Enfield remains one of the strongest franchises in Indian two-wheelers. Its competitive advantages extend beyond the motorcycle itself to include brand equity, customer community, resale values and loyalty — strengths that competitors have struggled to replicate for decades.
The key question is not the durability of the existing franchise, but whether that franchise can be successfully extended into electric motorcycles. Until there is greater evidence on this front, we remain comfortable with the resilience of the core business but see limited reason to become more positive. The market reception of **Flying Flea** will be an important indicator to watch.

Hero MotoCorp (Market-Perform): Hero remains one of India's most efficient manufacturing businesses. Its cost leadership, supplier ecosystem and unmatched distribution footprint continue to make it a formidable competitor in commuter motorcycles. The challenge is strategic rather than operational. Hero's strengths are concentrated in the entry-level mass market, a segment where industry value creation is gradually shifting elsewhere. Unlike Bajaj, Honda or Royal Enfield, Hero has yet to establish a differentiated franchise beyond cost leadership. Similarly, unlike TVS and Bajaj, it has not yet built a leadership position in electric vehicles.

Hero's competitive advantages remain significant, but they are concentrated in what we view as the least attractive part of the industry's future profit pool.

DETAILS

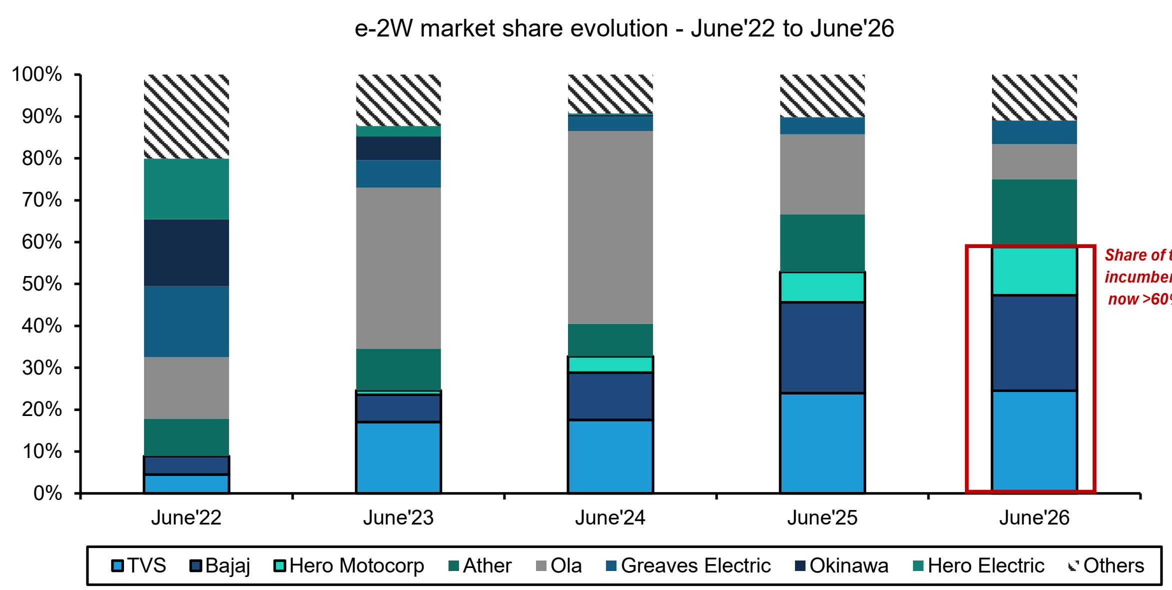
EV MARKET SHARES WILL CONTINUE TO EVOLVE

The Indian EV 2W market remains highly dynamic, with market share continuing to shift as competition intensifies. What began as a market dominated by numerous smaller OEMs is gradually consolidating around a handful of incumbents and two listed pure-play EV players. Customer preferences appear to be gravitating toward reliable, well-supported products rather than feature-rich or highly differentiated offerings, placing greater emphasis on quality, serviceability, and brand trust.
Notably, none of the current (Incumbent ICE) leaders possess a clear cost advantage, meaningful product differentiation, or superior capability relative to peers. This leaves the market open to further disruption, particularly as several established ICE incumbents, including Suzuki and Honda (covered by Masahiro Akita), are yet to fully enter the EV segment in India. Royal Enfield has only recently launched its EV offering, while emerging players such as Ultraviolette (in which TVS holds a stake) and Riverr (Yamaha has a stake) remain in the early stages of scaling up. VinFast (Not covered) is also expected to enter the market, and several other startups continue to pursue product launches.

At the same time, incumbent EV players are expanding their portfolios, while competition is increasingly extending beyond scooters into motorcycles. Given the breadth of upcoming product launches and the absence of durable competitive advantages among current leaders, we expect market shares to remain fluid and industry leadership to evolve meaningfully over time.

How does EV market structure evolve? Can one derive insights from the share evolution in the ICE 2W Industry? We discuss this in this report.

EXHIBIT 1: **Evolution so far - fragmentation to consolidation: Top 3 Incumbent OEMs (TVS, Bajaj, Hero) now command over 60% of India's e-2W market, up from ~10% in June'22**



Ather (not covered), Ola (not covered)
Source: Vahan, Company Data, Bernstein Analysis

INDIAN TWO WHEELERS COMPETITION HAS ALWAYS BEEN TWO DIFFERENT MARKETS

Indian 2W industry is essentially two markets, won in very different ways, and the entire electric question turns on separating them.

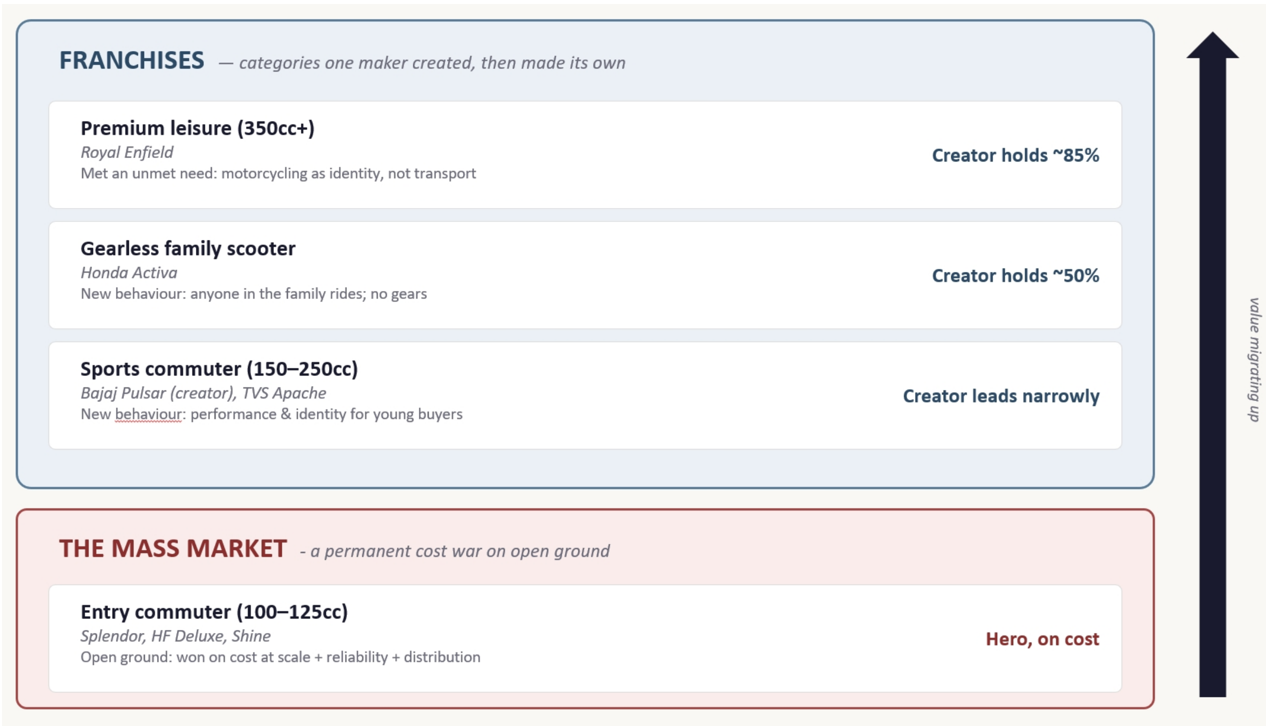
Why does this distinction decide the electric outcome?

The two markets are won with fundamentally different capabilities, defended by different competitive moats, and exposed to different risks. The mass market rewards manufacturers that can deliver the lowest cost at scale. Franchise categories, by contrast, reward those that create, own, and continuously reinforce a distinct consumer proposition.

Viewed together, these markets can produce confusing or even contradictory conclusions. Viewed separately, the impact of electrification becomes much clearer. Electric disruption does not affect every category in the same way; it reshapes each according to its underlying economics and sources of competitive advantage.

The chapters that follow examine each market in turn, establish the concentration dynamics that sit above both, and then apply this framework to understand who is likely to win, survive, or struggle through the electric transition.

EXHIBIT 2: **The two markets of 2Ws: an open-ground cost contest won on scale, and created categories - franchises, that one manufacturer built and held for decades. Value is migrating upward.**



Source: Company Data, Bernstein analysis

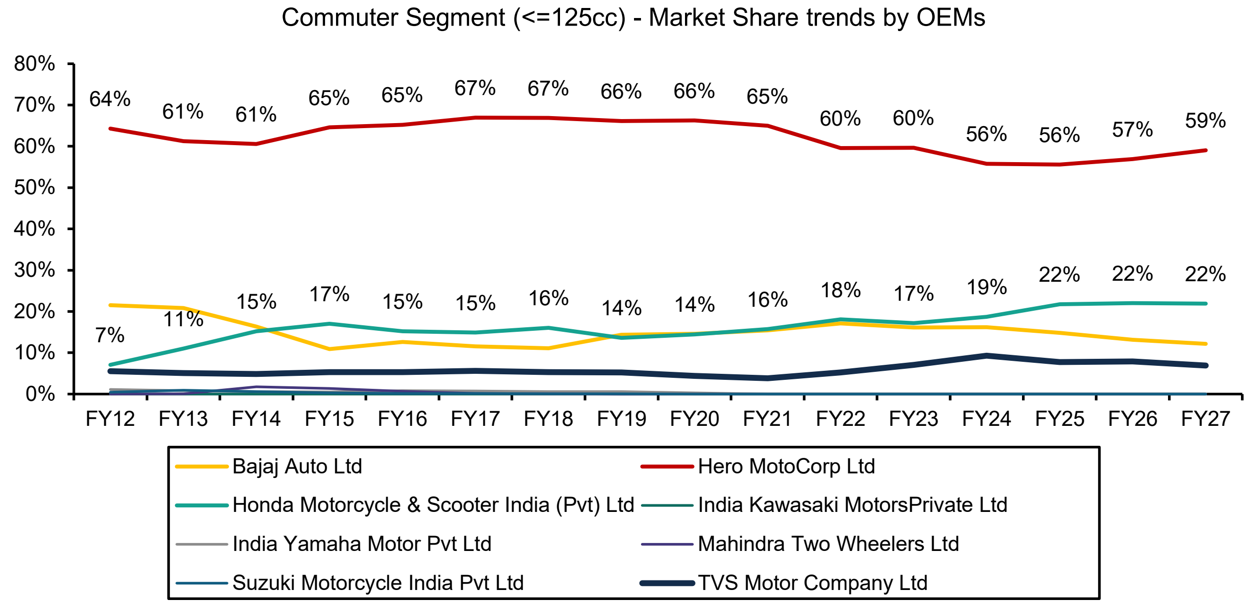
THE MASS MARKET IS MOSTLY WON ON COST AND DISTRIBUTION

The **mass market**, which we refer to as the **Commuter Segment (≤125cc)** in this note, is largely a game of **cost, scale and distribution**.
Hero has dominated entry-level commuter motorcycles for more than two decades because it combines massive scale with frugal engineering, strong supplier bargaining power and an extensive service network that reaches even the smallest towns at low cost. Together, these advantages allow Hero to produce and sell motorcycles more cheaply than competitors.

The challenge for rivals is that matching Hero's cost structure requires similar scale. But achieving that scale first requires taking market share from Hero, which is difficult because Hero already enjoys a cost advantage. This creates a self-reinforcing cycle: scale lowers costs, lower costs strengthen competitiveness, and stronger competitiveness helps preserve scale.

As a result, even a better product typically shifts market share only gradually in this segment. The winner is rarely the company with the best product; it is usually the company with the most efficient large-scale operating model.

EXHIBIT 3: **Hero has led in this mass market commuter segment for decades. In this mass market a better product gains share only gradually: Honda's superior engines took about 15 years to reach almost a quarter of commuter motorcycles, and continue to still trail Hero.**



Honda Motor Co (covered by Masahiro Akita)
Source: SIAM, Bernstein analysis

Honda is a good example of how the commuter market works. It entered India with engines that were smoother, more refined and widely regarded as more durable. Yet despite having a strong product, it took nearly 15 years to build its share to around a quarter of the commuter motorcycle market, and it still has not displaced the incumbent leader.

The lesson is that, in the mass market, a better product rarely changes the competitive order overnight. Market share shifts gradually because success depends less on product superiority and more on cost competitiveness, distribution reach, service availability and consistent execution over long periods.

This runs counter to conventional thinking. We often assume that the best technology or engineering wins. In reality, the commuter segment rewards affordability, reliability and accessibility. It is the least glamorous part of the industry, but also the largest by volume, and it is where the incumbents have built their strongest advantages.

This is important when thinking about electrification. Since the commuter segment accounts for most industry volumes, the key question is whether EVs change the factors that determine success. At first glance, they do not. Scale, distribution, service networks and cost efficiency remain just as important in electric as they are in ICE.

The main risk to this view is the emergence of a player with a structural cost advantage that incumbents cannot replicate. That never happened in the petrol era. However, in an electric world, a manufacturer that secures a significant and durable advantage in battery costs could potentially disrupt the established order. We explore that possibility later in the report.

FRANCHISES ARE CREATED, THEN DEFENDED BY AN ECOSYSTEM THAT IS HARD TO COPY

WHAT IS A FRANCHISE, AND WHAT IS NOT?

Franchises can be born from a point of strength or weakness, but they must create something new

A franchise has three defining characteristics. First, it serves a customer need that the market had not adequately addressed. Second, it changes customer behaviour rather than simply offering a better or cheaper version of an existing product. Third, it builds a self-reinforcing ecosystem such as resale value, service familiarity, financing, community, and brand strength that makes it difficult for competitors to displace.

The Hero Splendor is a great product and remains the best-selling motorcycle in history. While it is not called as a franchise but when it was launched in 1994 there were competing products in that category (Yamaha RX100, Bajaj etc). It did not create a new category or change how customers used motorcycles. It succeeded by winning the existing commuter market through low cost and extensive distribution. Splendor is Hero's flagship mass-market product, but it is not a franchise.

Pulsar, Activa, and Royal Enfield are different. Each created a distinct category and built a durable position within it.

The companies that built these franchises started from very different positions.

- Bajaj was losing the geared-scooter market to Honda. Rather than compete head-on, it created a new category with the Pulsar: sporty commuter motorcycles aimed at younger riders seeking performance and identity, not just transportation.
- Royal Enfield took a different path. At the time, it was a small manufacturer producing relatively few motorcycles. Instead of challenging established commuter brands, it defined an entirely new category around leisure and lifestyle motorcycling.
- Honda created another franchise with Activa. After the decline of geared scooters, it launched a simple gearless scooter that anyone in the family could ride, effectively creating the modern family-scooter segment.

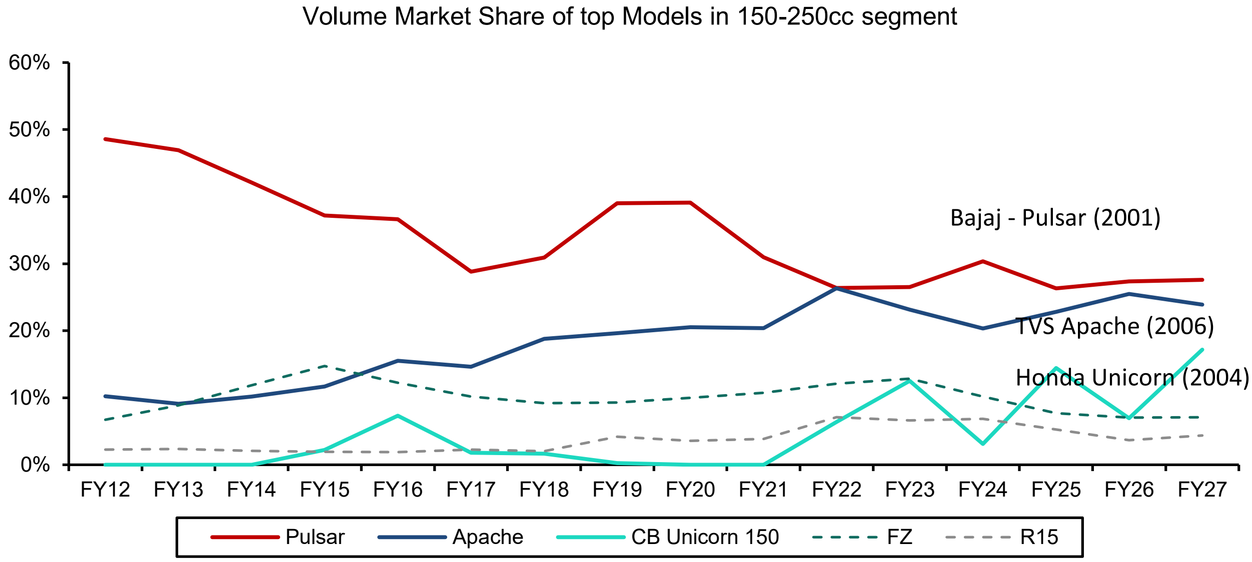
The starting points were different, but the strategy was the same: create a category with little or no direct competition, then strengthen the position over time.

<u>The product creates the category; the ecosystem protects it</u>

This is the key reason franchises endure. Competitors often copied the products, sometimes with equally capable engineering and significant resources. But copying the product did not mean winning the category.

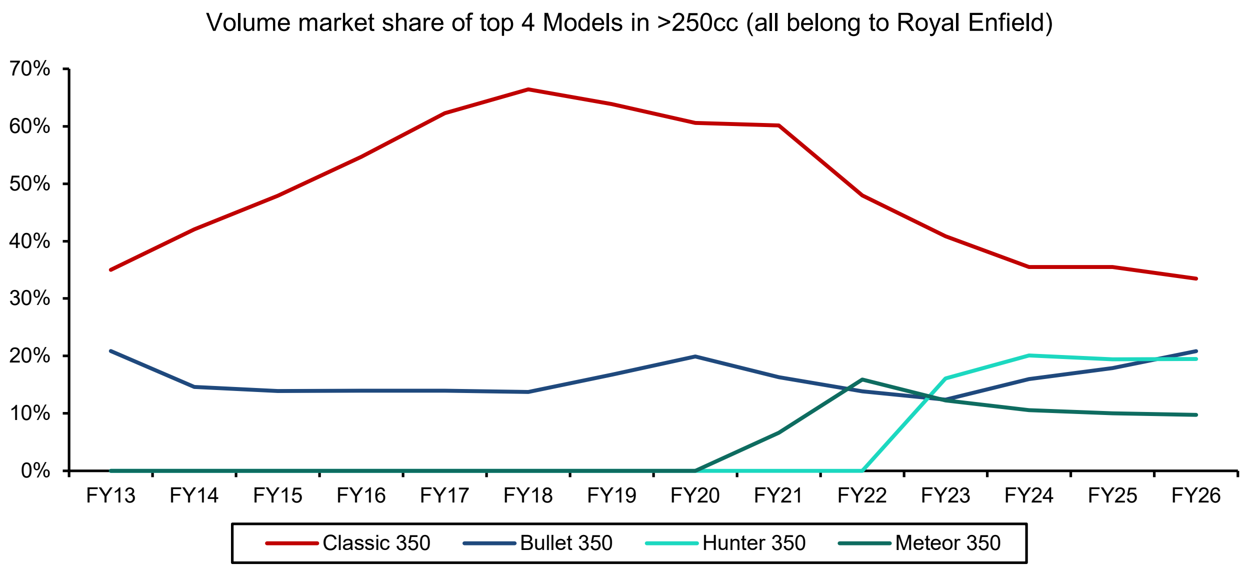
- Pulsar defined sports commuting and remained at the centre of the category for years. Bajaj eventually gave up some share, particularly to TVS, but continued to defend its position through constant product refreshes, a strong performance-oriented brand, and an established service and resale ecosystem. Competitors replicated the motorcycle, but struggled to take over the category.
- Royal Enfield provides the clearest example. Many rivals launched credible alternatives, some arguably superior on specifications. Yet Royal Enfield retained overwhelming leadership because its advantage extended far beyond the motorcycle itself. The brand, rider community, resale value, service network, and aspirational appeal created a powerful moat.
- Activa followed a similar path. Competitors such as Jupiter and Access gained meaningful market share, but Activa remained the default family scooter for years. Reliability supported strong resale values, while Honda's service network reinforced customer confidence, creating a cycle that competitors found difficult to break.
- Hero's experience highlights the difference. The company dominated the commuter market, but its attempts to create entirely new categories failed to develop the same lasting advantages. This suggests that winning on cost and distribution is a different skill from creating and defending a franchise. The capabilities required are not the same.

EXHIBIT 4: **Pulsar continues to lead the sports-commuting segment many years after creating it; while it has ceded some share to Apache, it remains the segment's focal point.image.jpg**



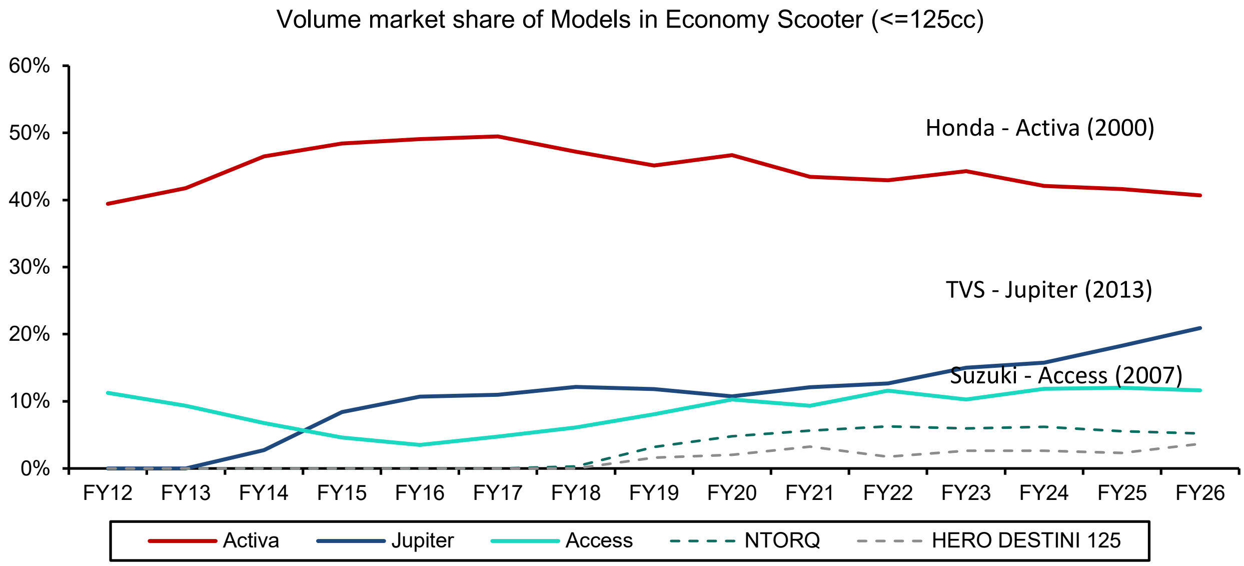
Source: SIAM, Bernstein analysis

EXHIBIT 5: **Royal Enfield dominates the super-premium motorcycle segment; its four leading models together account for more than 85% of category volumes, illustrating the depth of its franchise.**



Source: SIAM, Bernstein analysis

EXHIBIT 6: **Activa has remained the economy-scooter market's trusted default for more than two decades; competitors have gained share, but none has displaced its category-defining position.**

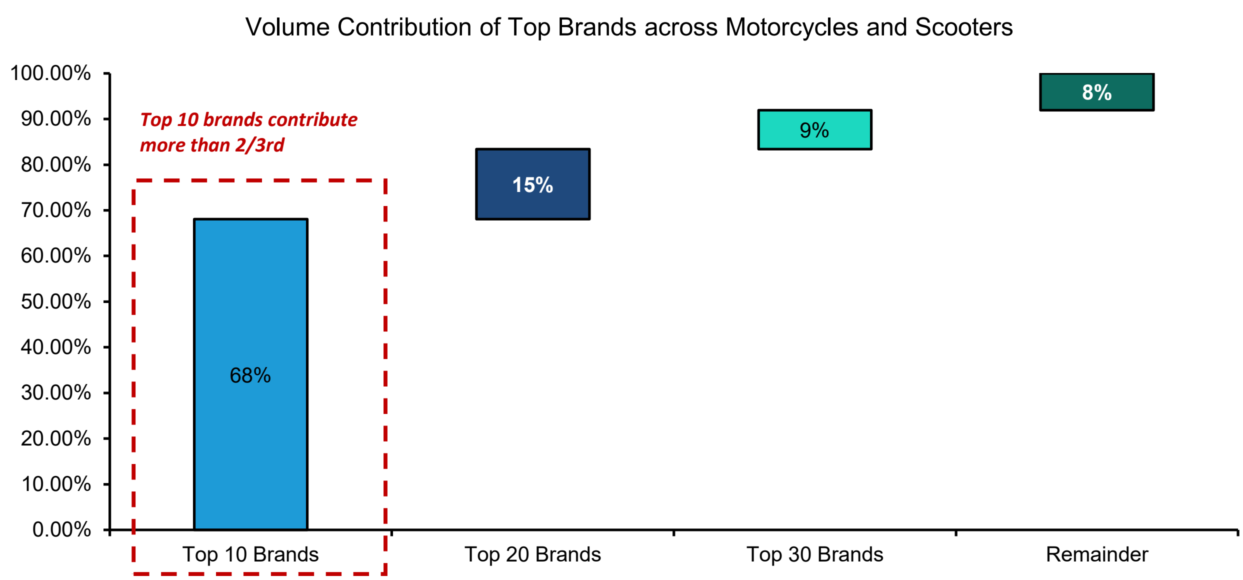


Honda Motor Co (covered by Masahiro Akita)
Source: SIAM, Bernstein analysis

A HANDFUL OF MODELS HAVE ALWAYS CARRIED THIS MARKET

The two-wheeler market is exceptionally concentrated at the model level, and has remained so for as long as reliable industry data exists. More than 80 brands are available to consumers, yet roughly ten nameplates account for nearly two-thirds of industry volumes. The next ten capture most of the remainder, leaving more than a hundred models to compete for a small residual share. In other words, a crowded catalogue and a highly concentrated market have coexisted for decades.

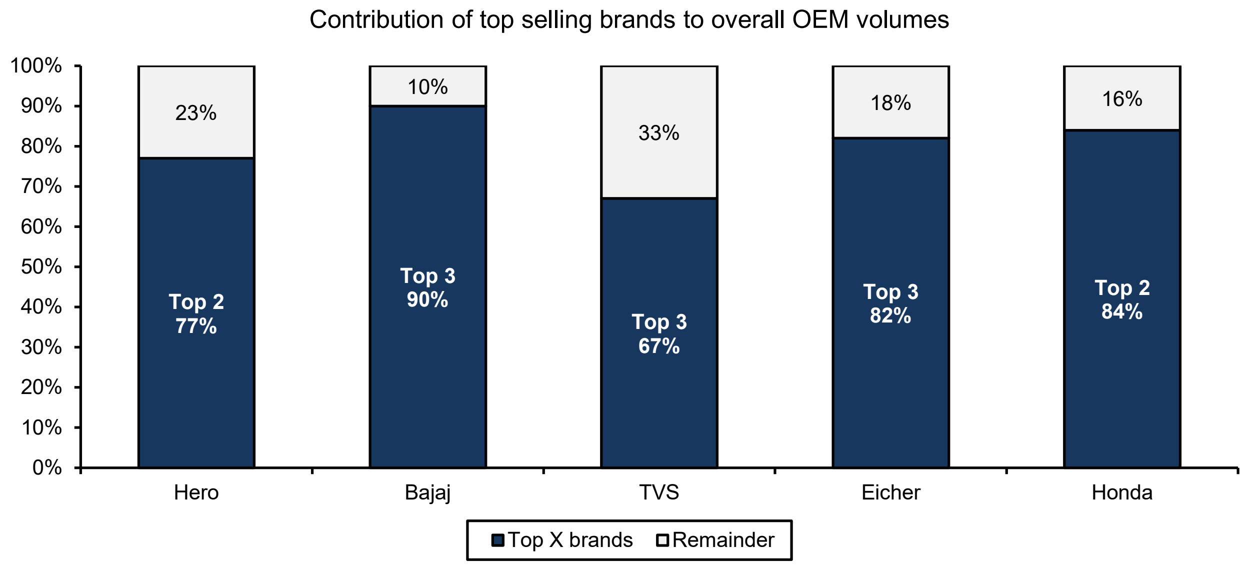
EXHIBIT 7: **Top 10 brands contribute ~68% of volumes, top 20 ~83% of volumes**



Data for FY26
Source: SIAM, Bernstein analysis

Even for the largest manufacturers, most volumes come from their top 2-3 brands. The concentration holds within each manufacturer, not only across the industry. Hero's top two brands are ~75-80% of its sales; Bajaj's top three are ~90% of its own. Honda , TVS and Eicher show the same pattern. The remainder of each range - the long tail of variants and unsuccessful launches - contributes very little.

EXHIBIT 8: **For each of the major 2W OEM, most volumes come from its top 2-3 brands**



Data for FY26; Honda Motor Co (covered by Masahiro Akita)
Source: SIAM, Bernstein analysis

The lesson is the same in both strategies (mass market and franchise) and it is one of the central arguments of this note. Manufacturers do not win by launching dozens of models. They win by making one model the default choice and then giving it time to build momentum. (For EV though we do not call same model having multiple battery packs as different models - it is a feature which EVs can offer that ICE's cant)

Once a model reaches scale, its advantages begin to reinforce themselves. A larger owner base improves resale values, expands the service ecosystem, increases mechanic familiarity, and gives new buyers greater confidence in the product. Every additional customer makes the model a safer and more attractive choice for the next one.

These benefits accrue to the model that scales first and continues to execute well. Offering a wider range of products does not necessarily speed up this process. In many cases, it spreads investment, management attention, and marketing resources across too many models, making it harder for any one of them to establish a dominant position.

This is consistent with our earlier work on model-level market share. Products drive success, but the models that matter are surprisingly few. The biggest winners are often long-established nameplates protected by strong ecosystems of resale, service, brand recognition, and customer familiarity. That is why new entrants in an existing category often struggle, even when they offer a technically competitive product. The challenge is not building a good vehicle; it is displacing an entrenched franchise.

Breadth of range has never been the source of strength.

Before turning to EVs, it is worth challenging a common assumption. Intuitively, a broader product portfolio should make a manufacturer more resilient. Yet the history of the two-wheeler market suggests the opposite.

Success has rarely come from offering the widest range of models. It has come from building one model into the default choice for a large group of consumers and then reinforcing that position over time through scale, distribution, service, and resale value.

The numbers make the point clearly. Around ten models account for nearly two-thirds of industry volumes, despite hundreds of models being available. At the same time, fewer than one in ten new launches achieves lasting success. The market rewards focus far more than variety.

The result is that most winning manufacturers are built around a few dominant nameplates rather than a broad catalogue of equally successful products. Historically, a narrow but well-supported lineup has proven far more effective than a wide range of partially supported models.

As we think about electric vehicles, the key question is therefore not how many models a manufacturer offers. The more important question is whether its lead model is competing in a category where it can become the default choice and build a durable franchise.

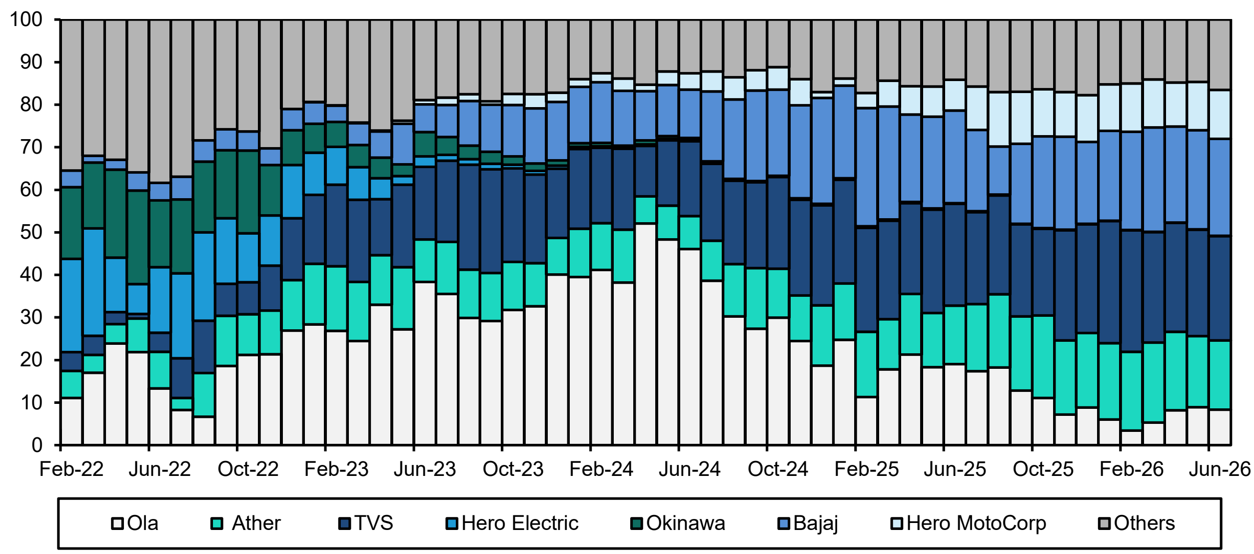
ELECTRIC CHANGES THE TECHNOLOGY, NOT MOST OF THE RULES

The framework now applies directly to the central question. A common concern is that the incumbents are under-investing in electric because each relies on a single model - Bajaj on the Chetak, TVS on the iQube, with little else for several years. Read against the history, that concern needs to be divided, because a single default means different things in the two games.

In the mass market, one default is the model of success, not a weakness. Where electric replaces the existing commuter vehicle - the same buyer, the same need, at a lower running cost - it is the mass market, and the mass market has never been won by launching many models. It has been won by establishing one as the default and distributing it widely. On that basis, the incumbents' reliance on a single strong electric model is consistent with how Hero won with the Splendor and Honda with the Activa, not evidence of under-investment.

The evidence to date supports the incumbents. Over roughly two years, the legacy manufacturers have moved from about a third of the e-2W market to more than 60%, while the subsidy-era entrants (Hero Electric, Okinawa) that led on price and marketing have lost position. In the mass market, electric is being won on the same terms as petrol: cost, distribution and a trusted default.

EXHIBIT 9: **e-2Ws market share: From ~15% share at the start of FY23 to ~60% share, the three legacy scooter makers - TVS, Bajaj and Hero MotoCorp are making their way back into the game**



Ola (not covered), Ather Energy (not covered)
Source: VAHAN, Bernstein analysis

The challenge, however, is that many of the factors that drive success in ICE vehicles—focus, scale, distribution, service reach and overall ownership value - also matter in EVs, but incumbents do not yet enjoy a meaningful cost advantage.

Traditional manufacturers have some advantages over startups in areas such as distribution, logistics, supplier relationships for non-critical components and operating leverage. However, there is no significant technology or supply-chain advantage that gives incumbents a clear cost lead today.

As a result, entry barriers in EVs are much lower than they have historically been in ICE. This is likely to attract far more competitors into the mass-market segment than we have seen in the past. The evidence is already visible. TVS and Bajaj are expanding aggressively, Hero has reduced prices to remain competitive, Ather is preparing a mass-market product, and additional entrants including Honda, Suzuki and VinFast are expected to launch products over time.

This creates a much more crowded competitive environment than the one that existed when many of today's successful ICE franchises were established.

The only clear path to a durable cost advantage is deeper vertical integration. Manufacturers that produce key components in-house, particularly batteries and other core EV systems, can potentially lower costs and differentiate themselves from competitors that rely heavily on imports. Regulatory changes that increase the cost of imported components could further widen this advantage.

However, this strategy comes with a catch. Vertical integration requires significant investment, and those investments only make economic sense at scale. In other words, manufacturers first need sufficient volume to justify building capabilities in-house, but those capabilities are often what create the long-term cost advantage. Scale is therefore both the prerequisite and the reward.

This is why the EV market remains unusually open today. The eventual winners are likely to benefit from the same self-reinforcing advantages that have historically mattered in two-wheelers—scale, distribution, service, resale and brand trust. The difference is that entry barriers are lower in EVs hence the default situation is likely to be a mass-market, market share structure which is more even in terms of shares with several players in a narrow range of high single digits to low double-digit shares.

IN THE NEW FRANCHISE, A NARROW STRATEGY IS A GENUINE RISK.

The EV opportunity is not just about replacing today's commuter motorcycles and scooters. It is also about creating entirely new categories that did not previously exist.

In fact, the most interesting opportunity may lie at the premium end of the market. Unlike ICE, where categories such as sports motorcycles, leisure riding and performance commuting are already well defined, the premium EV segment is still largely unformed. What is often marketed as "premium" today is, in many cases, a mass-market product sold at a higher price because industry volumes remain too low to support truly differentiated offerings.

That is beginning to change. Products such as Ultraviolette's performance motorcycles, Royal Enfield's Flying Flea platform, ola E's premium. Motorcycle plans and future KTM EVs from Bajaj represent something different. These are not simply electric versions of existing commuter vehicles. They aim to create distinct identities, experiences and communities around them.

This matters because no premium EV franchise has yet been firmly established. And unclaimed franchises are rarely won by accident. They are usually captured by the company that moves first, commits resources early and deliberately shapes customer expectations around a new category.

This is where a conservative strategy carries a real cost. Waiting and focusing only on a single mass-market model may be sensible in defending existing positions, but it risks missing the period when the next generation of franchises is being defined.

The ingredients for success are likely to look familiar. Product performance will matter, but product performance alone will not be enough. Brand identity, ownership experience, community building, events, lifestyle associations and emotional appeal are likely to become as important in premium EVs as they have been for Royal Enfield in leisure motorcycling or Pulsar in sports commuting.

Paradoxically, while EV technology makes it easier than ever to launch new products, it may make genuinely premium products harder to build. A commuter scooter can compete on specifications and price. A premium motorcycle must offer something more difficult to copy: a distinct identity and a reason for customers to care beyond the specifications.

That is why we see premium EVs as one of the most attractive white spaces in the industry today. The opportunity is not a single large market, but a collection of smaller, focused segments. Each niche may be relatively narrow on its own, but a successful player can still build a highly concentrated position within it. History suggests that these are precisely the conditions from which durable franchises emerge. The next Activa or Royal Enfield may not come from the mass market at all; it may be created in a premium EV category that does not yet fully exist.

HOW THE TRANSITION COULD RESOLVE, AND WHAT WOULD PROVE US WRONG

Mass market will be fragmented in EVs while premium will be consolidated but in several niche segments with each nice segments having one key OEM succeeding. We hold this view as a probability, not a certainty. The key issue is whether e-2Ws evolve in a way that preserves incumbents' existing advantages in scale, distribution and trusted brands, or whether the technology creates a new source of defensible advantage for challengers. Four developments will determine the outcome.

First, we are watching whether battery cells become the critical cost advantage. If one manufacturer develops a domestic cell-cost position that competitors cannot replicate, the mass market could shift toward whoever controls that advantage.

Second, we are assessing whether premium electric scooters become a genuine franchise rather than simply a higher-specification commuter vehicle. The evidence would be meaningful switching costs created through connectivity, software and charging access.

Third, the speed at which a software ecosystem can be built may matter more in electric than it did in petrol. If brand, digital services, customer data and charging networks create loyalty quickly, an early and focused entrant could establish the category before incumbents have time to respond.

Finally, battery swapping could alter the ownership model entirely. If an independent party owns the swapping network, the vehicle itself risks becoming commoditised and a larger share of the industry profit pool could move away from manufacturers.

Our framework would therefore be wrong if a new entrant wins the mass market on product alone, with electric technology removing incumbents' cost and distribution advantages. It would also be wrong if a challenger secures a structural battery-cell cost advantage, as this would make cell control-not the vehicle manufacturer-the central competitive battleground. Similarly, widespread battery swapping controlled by third parties could reduce the strategic value of vehicle ownership and brand.

The most material risk to incumbents is that premium electric scooters develop durable software and network effects faster than any petrol-era franchise did. In that scenario, an early builder could lock in customers and establish category leadership before established manufacturers can respond. Narrow incumbent product portfolios would then become a disadvantage rather than a strength, while challengers with broader or more focused electric offerings could capture more than a niche position. We view each outcome as possible, but none is our base case today; these are the specific signposts that would cause us to reassess the investment view.

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 10: **Financial Summary: TVS Motors**

P&L (Rs mn)	FY26A	FY27E	FY28E	Balance Sheet	FY26A	FY27E	FY28E
Revenue	472,703	562,015	637,292	Fixed assets	54,381	63,007	70,275
EBITDA	60,794	74,188	86,952	Cash and equivalents	41,672	82,778	133,889
EBIT	51,787	64,468	75,691	Net debt/(funds)	(25,668)	(66,773)	(117,884)
Other Income	(300)	1,800	1,980	Shareholders' equity	132,431	177,223	230,541
Pre-tax income	49,035	64,270	75,713	Current assets	97,617	151,004	211,253
Tax	12,883	16,389	19,307	Current liabilities	101,726	120,945	137,145
Net income	36,566	47,881	56,406	Change in WC	13,196	6,938	7,061
EPS (adj)	77.0	100.8	118.7	CFO	60,693	64,738	74,707
EPS (reported)	76.1	100.8	118.7	Capital expenditure	(18,165)	(18,346)	(18,530)
Diluted shares (mn)	475	475	475	Free cash flow	42,529	46,391	56,177
DPS (R)	6.5	6.5	6.5	BVPS	278.8	373.0	485.3
Key ratios/metrics	**FY26A**	**FY27E**	**FY28E**	**Volume (units - '000)**	**FY26A**	**FY27E**	**FY28E**
Revenue growth	30.4%	18.9%	13.4%	Domestic Motorcyles	1,418	1,545	1,669
PAT growth	40.4%	30.9%	17.8%	Growth YoY (%)	18%	9%	8%
EBITDA margin	12.9%	13.2%	13.6%	Domestic scooters	2,303	2,648	2,966
EBIT margin	11.0%	11.5%	11.9%	Growth YoY (%)	27%	15%	12%
Pre-tax margin	10.4%	11.4%	11.9%	Domestic Mopeds	523	544	544
PAT margin	7.7%	8.5%	8.9%	Growth YoY (%)	4%	4%	0%
Tax	26.3%	25.5%	25.5%	Export 2w	1,411	1,588	1,781
ROE	27.6%	27.0%	24.5%	Growth YoY (%)	32%	13%	12%
ROE(ex-cash)	40.5%	49.4%	56.9%	Total 3w	219	255	284
				Growth YoY (%)	63%	16%	11%

Source: Company Data, Bernstein analysis and estimates

EXHIBIT 11: **Financial Summary: Hero Motocorp**

P&L (Rs mn)	FY26	FY27E	FY28E	Balance Sheet	FY26	FY27E	FY28E
Revenue	468,301	491,849	556,182	Fixed assets	52,466	57,257	59,757
EBITDA	68,708	70,114	80,722	Cash & equivalents	136,667	159,343	193,719
EBIT	60,728	61,614	72,222	Net debt/(funds)	(136,667)	(159,343)	(193,719)
Other Income	10,410	11,000	11,000	Shareholders' equity	215,781	244,425	281,056
Pre-tax income	69,720	72,364	82,946	Current assets	160,077	186,146	229,792
Tax	17,038	17,758	20,355	Current liabilities	83,830	88,045	99,561
Net income	52,682	54,606	62,591	Change in WC	6,612	822	2,246
EPS (adj)	270	273	313	CFO	57,092	53,178	62,613
EPS (reported)	270	273	313	Capital expenditure	(11,000)	(11,000)	(11,000)
Diluted shares (mn)	200	200	200	Free cash flow	46,092	42,178	51,613
DPS (R)	130	130	130	BVPS	1,081	1,224	1,407
Key ratios/metrics	**FY26**	**FY27E**	**FY28E**	**Volume (units - '000)**	**FY26**	**FY27E**	**FY28E**
Revenue growth	14.9%	5.0%	13.1%	Domestic Motorycles	5,493	5,768	6,229
PAT growth	14.1%	3.7%	14.6%	Growth YoY (%)	5%	5%	8%
EBITDA margin	14.7%	14.3%	14.5%	Domestic Scooters	573	659	791
EBIT margin	13.0%	12.5%	13.0%	Growth YoY (%)	46%	15%	20%
Pre-tax margin	14.9%	14.7%	14.9%	Export Motorcyles	312	375	450
PAT margin	11.2%	11.1%	11.3%	Growth YoY (%)	41%	20%	20%
Tax	24.4%	24.5%	24.5%	Export scooters	53	75	93
ROE	24.4%	22.3%	22.3%	Growth YoY (%)	71%	40%	25%
ROE(ex-cash)	57.4%	55.1%	62.9%				

Source: Company Data, Bernstein analysis and estimates

Venugopal Garre +65 6326 7643 venugopal.garre@bernsteinsg.com

EXHIBIT 12: **Financial Summary: Bajaj Auto**

P&L (Rs mn)	FY26	FY27E	FY28E	Balance Sheet	FY26	FY27E	FY28E
Revenue	629,050	690,187	768,226	Fixed assets	77,346	86,335	95,774
EBITDA	130,611	148,429	166,558	Cash and equivalents	328,033	398,628	468,412
EBIT	124,164	143,181	160,729	Net debt/(funds)	(235,668)	(306,263)	(376,047)
Other Income	21,822	18,983	22,520	Shareholders' equity	409,077	473,135	548,808
Pre-tax income	139,515	152,080	175,012	Current assets	269,224	339,648	424,612
Tax	33,770	37,770	43,503	Current liabilities	103,990	114,096	126,997
Net income	105,745	114,310	131,509	Change in WC	(7,775)	10,278	(2,279)
EPS (adj)	386	409	471	CFO	94,281	121,938	121,775
EPS (reported)	385	409	471	Capital expenditure	(8,561)	(8,989)	(9,439)
Diluted shares (mn)	279	279	279	Free cash flow	85,720	112,949	112,337
DPS (R)	180	180	200	BVPS	1,465	1,695	1,966

Key ratios/metrics	FY26	FY27E	FY28E	Volume (units - '000)	FY26	FY27E	FY28E
Revenue growth	23.4%	9.7%	11.3%	Domestic 2w	2,342	2,525	2,663
PAT growth	39.4%	56.1%	22.4%	Growth YoY (%)	2%	8%	5%
EBITDA margin	20.8%	21.5%	21.7%	Export 2w	1,962	2,159	2,286
EBIT margin	19.7%	20.7%	20.9%	Growth YoY (%)	18%	10%	6%
Pre-tax margin	22.2%	22.0%	22.8%	Domestic 3w	517	543	586
PAT margin	16.8%	16.6%	17.1%	Growth YoY (%)	8%	5%	8%
Tax	24.2%	24.8%	24.9%	Export 3w	461	553	591
ROE	25.8%	24.2%	24.0%	Growth YoY (%)	50%	20%	7%

Source: Company Data, Bernstein analysis and estimates

EXHIBIT 13: **Financial Summary: Eicher Motors**

P&L (Rs mn)	FY25A	FY26	FY27E	FY28E
Revenue	188,704	234,076	257,649	307,304
EBITDA	47,120	57,851	65,501	78,007
EBIT	39,827	49,447	56,222	67,998
Other Income	13,049	14,865	16,055	17,018
Pre-tax income	59,331	71,021	79,596	93,336
Tax	11,986	15,868	17,190	20,248
Net income	47,344	55,152	62,405	73,088
EPS (adj)	173	203	228	267
EPS (reported)	173	201	228	267
Diluted shares (mn)	274	274	274	274
DPS (R)	61	71	80	93
Key ratios/metrics	**FY25A**	**FY26**	**FY27E**	**FY28E**
Revenue growth	14.1%	24.0%	10.1%	19.3%
PAT growth	18.3%	17.7%	12.0%	17.1%
EBITDA margin	25.0%	24.7%	25.4%	25.4%
EBIT margin	21.1%	21.1%	21.8%	22.1%
Pre-tax margin	31.4%	30.3%	30.9%	30.4%
PAT margin	25.1%	23.6%	24.2%	23.8%
Tax	20.2%	22.3%	21.6%	21.7%
ROE	22.2%	22.1%	21.5%	21.7%
ROE(ex-cash)	39.4%	42.1%	47.7%	56.2%
NWC days ex-cash	31	35	30	25
Balance Sheet	**FY25A**	**FY26**	**FY27E**	**FY28E**
Fixed assets	68,928	79,841	91,299	103,331
Cash	119,131	145,586	185,300	230,991
Net debt/(funds)	(116,466)	(142,521)	(182,236)	(227,927)
Shareholders' equity	212,965	249,174	289,738	337,245
Current assets	69,542	111,071	154,576	210,856
Current liabilities	41,837	50,220	55,342	66,138
Change in WC	2,110	(6,691)	1,331	206
CFO	39,799	42,715	57,611	66,935
Capital expenditure	(10,393)	(10,913)	(11,459)	(12,032)
Free cash flow	29,406	31,802	46,152	54,904
BVPS	777.8	910.1	1,058.2	1,231.7
Volume (units - '000)	**FY25A**	**FY26**	**FY27E**	**FY28E**
Motorcycles Rev.	169,201	209,662	252,919	301,723
Growth YoY (%)	11%	24%	21%	19%
VECV Rev.	235,482	275,790	303,755	335,216
Growth YoY (%)	8%	17%	10%	10%
Motorcycles volume	991,867	1,226,601	1,428,480	1,620,052
Growth YoY (%)	10%	24%	16%	13%
VECV (CV) volumes	89,055	101,071	108,119	117,105
Growth YoY (%)	4%	13%	7%	8%

Source: Company Data, Bernstein analysis and estimates

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

References to "Bernstein" or the “Firm” in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK（サンフォード・C・バーンスタイン株式会社）and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

Bernstein is part of a joint venture between Société Générale (SG) and AllianceBernstein, L.P. (AB). Unless specifically noted otherwise, for purposes of these disclosures, references to Bernstein’s “affiliates” relate to both SG and AB and their respective affiliates.

VALUATION METHODOLOGY

Bajaj Auto Ltd

We value Bajaj Ltd at a PT of INR11,500 using DCF valuations (10% discount rate, 3% terminal growth and explicit forecasts until FY35). Revenue and EBITDA growth built in our DCF model from FY25-FY35E are11%/10.4% CAGR. We believe the critical upside could emerge from higher-than-expected long-term EBITDA margins and a scale-up in EV segments. Implied PE multiple is 24x on FY28E earnings.

Hero MotoCorp Ltd

We value Hero MotoCorp on a standalone DCF basis at INR 4,370, implying 16x FY28E earnings. The DCF assumes a 10.6% discount rate, 1.5% terminal growth, and explicit forecasts through FY37, with revenue and EBITDA modelled at 5.8% and 6.5% CAGR respectively over FY23-FY37E. We add INR 640 per share for associate investments in Ather Energy (current market capitalisation), Hero Fincorp (FY25 book value) and Euler Motors (cost), net of a 10% holdco discount. This gives a price target of INR5,010 for Hero MotoCorp.

TVS Motor Co Ltd

We value TVS Motors at a PT of INR3,460 based on SOTP.

Standalone business is valued at INR 3200 per share using DCF with an implied multiple of 32x on FY27E earnings for the core 2W business. Our DCF valuations is based on 10.5% discount rate, 3% terminal growth and explicit forecasts until FY37. Revenue and EBITDA growth built in our DCF model from FY26-FY37E are11.1%/13.3% CAGR. We assign INR 120 per share to TVS Credit (value estimated at 2.5x P/B on FY25 Book Value) and INR 140 per share to other investments (valued at 1x P/B on FY25 book value).

Eicher Motors Ltd

We value Eicher Motors at a PT of INR 7,000 using SOTP method - based on DCF for 2W business with an implied PE multiple of 31x on FY27E earnings and using a 20x PE multiple on FY27E for its CV business. Our DCF valuations is based on 10.5% discount rate, 4% terminal growth and explicit forecasts until FY37. Revenue and EBITDA growth built in our DCF model from FY23-FY37E are 14.6%/15% CAGR.

RISKS

Bajaj Auto Ltd

Downside risk emerges from weaker than expected margins performance and continued weakness in export market and/or 3W segment.

Hero MotoCorp Ltd

Upside risks stem from 1) strong rural recovery driving growth for entry-level motorcycles, 2) creating a successful product in premium motorcycle and/or electric vehicle segment.

Downside risk stem from 1) Continued weakness in rural, disproportionately impacting volumes as it is heavily exposed to entry level segment. 2) Lower than expected scale up of its EV model (Hero Vida)

TVS Motor Co Ltd

Upside risks stem from sharper-than-expected recovery in margins. Downside risk emerges from a loss of share in the scooter market as EV penetration increases. Another risk is lower than expected scale up of its EV model (TVS Iqube).

Eicher Motors Ltd

Downside risk emerges from higher competition in the premium 2W segment (Harley Davidson etc) and weakness in exports. In addition, lack of EV products could trigger a risk to PE multiples. Upside risks for Eicher include better than expected domestic market for premium bikes as the top end of households remains resilient.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

EQUITY RATINGS DEFINITIONS

Bernstein brand

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/-15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, and the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/-10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

Autonomous brand – preferred stocks

The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

AUTONOMOUS CREDIT RESEARCH

Where this report contains investment recommendations for credit instruments, as defined in article 3(1)(35) of the Market Abuse Regulation, the information below is presented to comply with its disclosure requirements.

The report may also include reference(s) to published opinions by other Autonomous or Bernstein analysts covering the equity securities of the issuer(s) referenced herein. Please note an investment recommendation for credit instruments published by the author(s) of this report may differ from the published view of the analyst covering equity securities for the issuer(s) contained in this report and vice versa.

CREDIT RATINGS DEFINITIONS

The Autonomous brand has three categories of credit ratings:

- Credit Outperform (C-OP): The total return of the Reference Credit Instrument is expected to outperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- Credit Neutral (C-N): The total return of the Reference Credit Instrument is expected to perform in line with the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- Credit Underperform (C-UP): The total return of the Reference Credit Instrument is expected to underperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous credit ratings are based on a 6-month time horizon.

A list of all investment recommendations produced by the author(s) of this report alongside credit ratings history are available upon request.

It is at the sole discretion of the Firm as to when to initiate, update and cease research coverage. The Firm has established, maintains and relies on information barriers to control the flow of information contained in one or more areas (i.e. the private side) within the Firm, and into other areas, units, groups or affiliates (i.e. public side) of the Firm

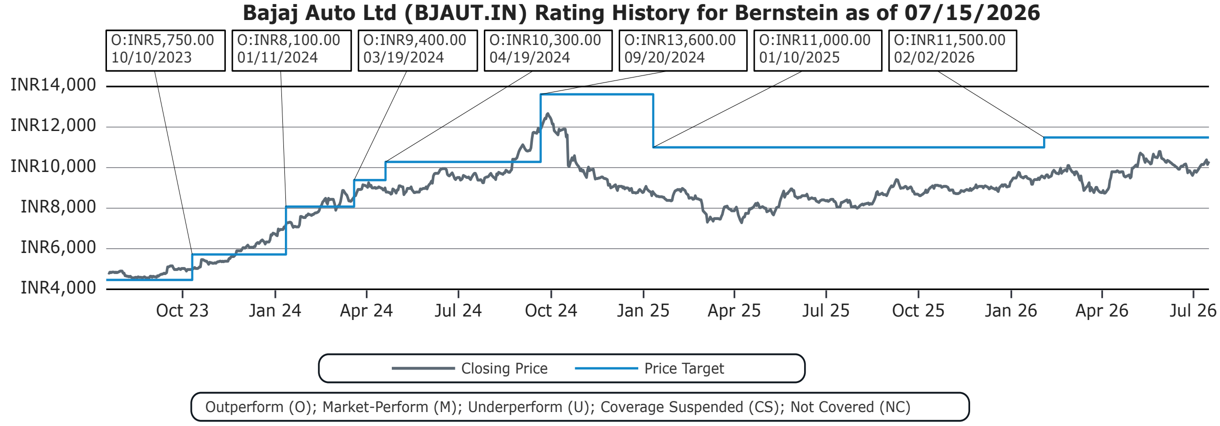
DISTRIBUTION OF EQUITY RATINGS/INVESTMENT BANKING SERVICES

Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	51.2%	15.3%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

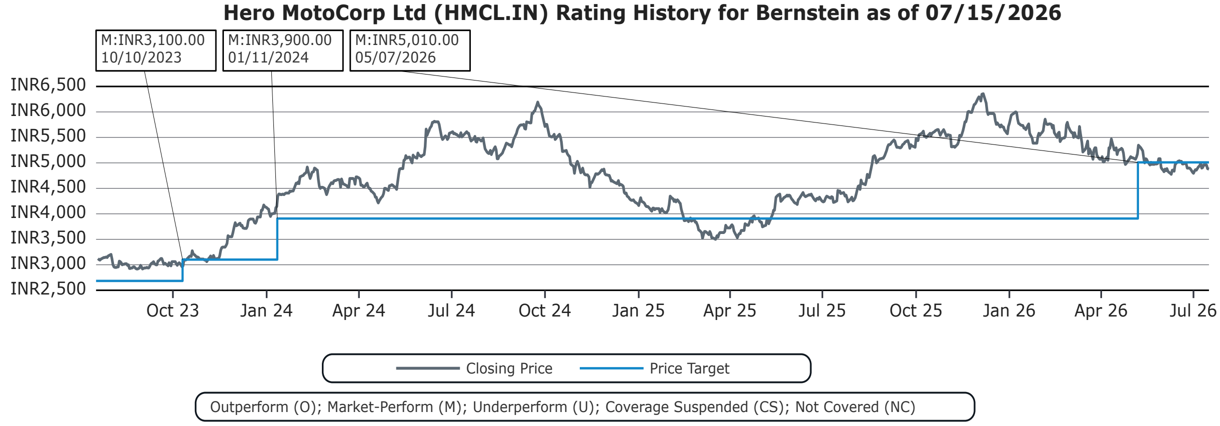
* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
As of June 30, 2026. All figures are updated quarterly.

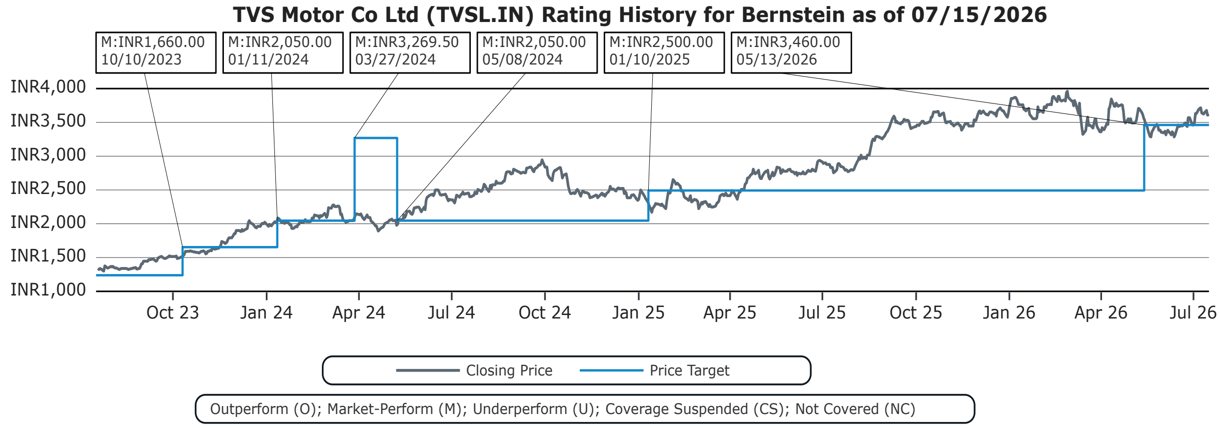
PRICE CHARTS / RATINGS AND PRICE TARGET HISTORY

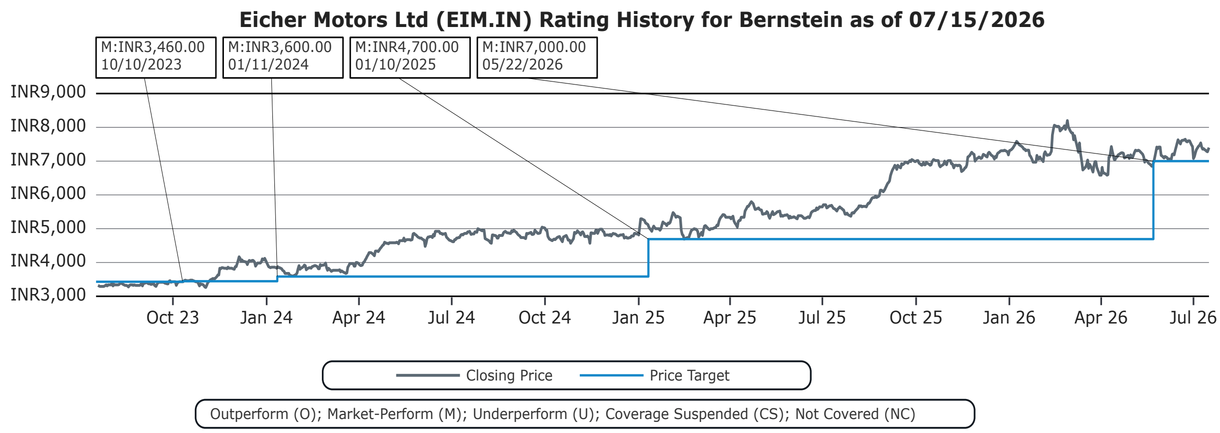
Bajaj Auto Ltd (BJAUT.IN) Rating History for Bernstein as of 07/15/2026



Hero MotoCorp Ltd (HMCL.IN) Rating History for Bernstein as of 07/15/2026







All price target and closing price data in the chart(s) above are denominated in the currency noted in the Ticker Table of this report.

CONFLICTS OF INTEREST

SG and/or its affiliates beneficially own 0.5% or more of [the total issued share capital/any class of common equity securities] with a net [long/short] position of: Hero MotoCorp Ltd.

OTHER MATTERS

The legal entity(ies) employing the analyst(s) listed in this report, and their location, can be determined by the country code of their phone number, as follows:

+1 Bernstein Institutional Services LLC; New York, New York, USA

+44 Bernstein Autonomous LLP; London UK

+212 Société Générale Africa Technologies & Services; Casablanca, Morocco

+33 BSG France S.A.; Paris, France

+34 BSG France S.A.; Madrid, Spain

+41 Bernstein Autonomous LLP; Geneva, Switzerland

+49 BSG France S.A.; Frankfurt, Germany

+91 Sanford C. Bernstein (India) Private Limited; Mumbai, India

+852 Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司; Hong Kong, China

+65 Sanford C. Bernstein (Singapore) Private Limited; Singapore

+81 Sanford C. Bernstein Japan KK; Tokyo, Japan

Where this report has been prepared by research analyst(s) employed by a non-US affiliate, such analyst(s), is/are (unless otherwise expressly noted below) not registered as associated persons of Bernstein Institutional Services LLC or any other SEC-registered broker-dealer and are not licensed or qualified as research analysts with FINRA. Accordingly, such analyst(s) may not be subject to FINRA's restrictions regarding (among other things) communications by research analysts with a subject company, interactions between research analysts and investment banking personnel, participation by research analysts in solicitation and marketing activities relating to investment banking transactions, public appearances by research analysts, and trading securities held by a research analyst account.

Where this report has been prepared by research analyst(s) employed by Société Générale Africa Technologies & Services (part of the Société Générale group of companies), it has been prepared on behalf of a Bernstein company under a Global Services Agreement in place between Bernstein and Société Générale.

CERTIFICATION

Each research analyst listed in this report, who is primarily responsible for the preparation of the content of this report, certifies that all of the views expressed in this publication accurately reflect that analyst's personal views about any and all of the subject securities or issuers and that no part of that analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views in this publication.

II. ADDITIONAL GLOBAL CONFLICT DISCLOSURES

It is at the sole discretion of the Firm as to when to initiate, update and cease research coverage. The Firm has established, maintains and relies on information barriers to control the flow of information contained in one or more areas (i.e., the private side) within the Firm, and into other areas, units, groups or affiliates (i.e., public side) of the Firm.

III. OTHER IMPORTANT INFORMATION AND DISCLOSURES

Separate branding is maintained for "Bernstein" and "Autonomous" research products.

- Bernstein produces a number of different types of research products including, among others, fundamental analysis and quantitative analysis under both the "Autonomous" and "Bernstein" brands. Recommendations contained within one type of research product may differ from recommendations contained within other types of research products, whether as a result of differing time horizons, methodologies or otherwise. Furthermore, views or recommendations within a research product issued under one brand may differ from views or recommendations under the same type of research product issued under the other brand. The Research Ratings System for the two brands and other information related to those Rating Systems are included in the previous section.

- Autonomous operates as a separate business unit within the following entities: Bernstein Institutional Services LLC, Bernstein Autonomous LLP, Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司 and Sanford C. Bernstein (India) Private Limited. For information relating to "Autonomous" branded products (including certain Sales materials) please visit: www.autonomous.com. For information relating to Bernstein branded products please visit: www.bernsteinresearch.com.

Analysts are compensated based on aggregate contributions to the research franchise as measured by account penetration, productivity and proactivity of investment ideas. No analysts are compensated based on performance in, or contributions to, generating investment banking revenues.

This report has been produced by an independent analyst as defined in Article 3 (1)(34)(i) of EU 596/2014 Market Abuse Regulation ("MAR") and the same article of MAR as it forms part of United Kingdom domestic law by virtue of the European Union (Withdrawal) Act 2018.

To our readers in the United States: Bernstein Institutional Services LLC, a broker-dealer registered with the U.S. Securities and Exchange Commission ("SEC") and a member of the U.S. Financial Industry Regulatory Authority, Inc. ("FINRA") is distributing this publication in the United States and accepts responsibility for its contents. Where this material contains an analysis of debt product(s), such material is intended only for institutional investors and is not subject to the US independence and disclosure standards applicable to debt research prepared for retail investors.

Bernstein Institutional Services LLC may act as principal for its own account or as agent for another person (including an affiliate) in sales or purchases of any security which is a subject of this report. This report does not purport to meet the objectives or needs of any specific individuals, entities or accounts.

To our readers in Canada: If this publication pertains to a Canadian domiciled company, it is being distributed in Canada by Sanford C. Bernstein (Canada) Limited, which is licensed and regulated by the Canadian Investment Regulatory Organization. If the publication pertains to a non-Canadian domiciled company, it is being distributed by Bernstein Institutional Services LLC, which is licensed and regulated by both the SEC and FINRA, into Canada under the International Dealers Exemption.

This document may not be passed onto any person in Canada unless that person qualifies as "permitted client" as defined in Section 1.1 of NI 31-103.

To our readers in Brazil: This report has been prepared by Bernstein Institutional Services LLC, and Banco BTG Pactual S.A. ("BTG") is responsible for the distribution of this report in Brazil.

To readers in the United Kingdom: This publication has been issued or approved for issue in the United Kingdom by Bernstein Autonomous LLP, authorised and regulated by the Financial Conduct Authority and located at 60 London Wall, London EC2M 5SH, +44 (0)20-7170-5000. Registered in England & Wales No OC343985.

This document is for distribution only to persons who (i) have professional experience in matters relating to investments falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the “Financial Promotion Order”), (ii) are persons falling within Article 49(2)(a) to (d) (“high net worth companies, unincorporated associations, etc.”) of the Financial Promotion Order, (iii) are outside the United Kingdom, or (iv) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the FSMA) in connection with the issue or sale of any securities may otherwise lawfully be communicated or caused to be communicated (all such persons together being referred to as “relevant persons”). This document is directed only at relevant persons and must not be acted on or relied on by persons who are not relevant persons. Any investment or investment activity to which this document relates is available only to relevant persons and will be engaged in only with relevant persons.

To our readers in the member states of the EEA: This publication is being distributed by BSG France SA, which is authorised and regulated by the Autorité de Contrôle Prudentiel et de Résolution (ACPR) and Autorité des Marchés Financiers (AMF).

To our readers in Hong Kong: This publication is being distributed in Hong Kong by Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, which is licensed and regulated by the Hong Kong Securities and Futures Commission (Central Entity No. AXC846) to carry out Type 4 (Advising on Securities) regulated activities and subject to the licensing conditions mentioned in the SFC Public Register (https://www.sfc.hk/publicregWeb/corp/AXC846/details)). This publication is solely for professional investors, as defined in the Securities and Futures Ordinance (Cap. 571). The purpose of this report is solely to provide an analysis of the issuers referred to in this report and is not intended for any purpose contrary to the laws of Hong Kong.

To our readers in Singapore: This publication is being distributed in Singapore by Sanford C. Bernstein (Singapore) Private Limited, only to accredited investors or institutional investors, as defined in the Securities and Futures Act 2001 of Singapore ("SFA"). Recipients in Singapore should contact Sanford C. Bernstein (Singapore) Private Limited in respect of matters arising from, or in connection with, this publication. Sanford C. Bernstein (Singapore) Private Limited is regulated by the Monetary Authority of Singapore and licensed under the SFA as a capital markets services licence holder for dealing in capital markets products that are securities and collective investment schemes and an exempt financial adviser for advising on, issuing and promulgating analyses and reports on securities. Sanford C. Bernstein (Singapore) Private Limited is registered in Singapore with Company Registration No. 20213710W and located at 8 Marina Boulevard, #12-01, Marina Bay Financial Centre, Singapore 018981, +65-6326-7000.

To our readers in the People’s Republic of China: The securities referred to in this document are not being offered or sold and may not be offered or sold, directly or indirectly, in the People's Republic of China (for such purposes, not including the Hong Kong and Macau Special Administrative Regions or Taiwan, the “PRC”) in contravention of any applicable laws of the PRC.

This document does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC to any person to whom it is unlawful to make the offer or solicitation in the PRC.

We do not represent that this document may be lawfully distributed, or that any securities may be lawfully offered, in compliance with any applicable registration or other requirements in the PRC, or pursuant to an exemption available thereunder, or assume any responsibility for facilitating any such distribution or offering. In particular, no action has been taken by us which would permit a public offering of any securities or distribution of this document in the PRC. Accordingly, the securities are not being offered or sold within the PRC by means of this document or any other document. Neither this document nor any advertisement or other offering material may be distributed or published in the PRC, except under circumstances that will result in compliance with any applicable laws and regulations.

To our readers in Japan: This publication is being distributed in Japan by Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社), which is registered in Japan as a Financial Instruments Business Operator with the Kanto Local Finance Bureau (registration number: The Director-General of Kanto Local Finance Bureau (FIBO) No.3387) and regulated by the Financial Services Agency. It is also a member of Investment Management Association of Japan. This publication is solely for qualified institutional investors in Japan only, as defined in Article 2, paragraph (3), items (i) of the Financial Instruments and Exchange Act.

For the institutional client readers in Japan who have been granted access to the Bernstein website by Daiwa Securities Group Inc. ("Daiwa"), your access to this document should not be construed as meaning that Bernstein is providing you with investment advice for any purposes. Whilst Bernstein has prepared this document, your relationship is, and will remain with, Daiwa, and Bernstein has neither any contractual relationship with you nor any obligations towards you.

To our readers in Australia: Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司 is responsible for distributing research in Australia. It is regulated by the Securities and Exchange Commission under U.S. laws, by the Financial Conduct Authority under U.K. laws, which differs from Australian laws. Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司 is exempt from the requirement to hold an Australian financial services license under the Corporations Act 2001 in respect of the provision of the following financial services to wholesale clients:

- providing financial product advice;
- dealing in a financial product;
- making a market for a financial product; and
- providing a custodial or depository service.

To our readers in India: This publication is being distributed in India by Sanford C. Bernstein (India) Private Limited (SCB India) which is licensed and regulated by Securities and Exchange Board of India ("SEBI") as a research analyst entity under the SEBI (Research Analyst) Regulations, 2014, having registration no. INH000006378 and as a stock broker having registration no. INZ000213537. SCB India is currently engaged in the business of providing research and stock broking services. Please refer to www.bernsteinresearch.in for more information.

- SCB India is a Private limited company incorporated under the Companies Act, 2013, on April 12, 2017 bearing corporate identification number U65999MH2017FTC293762, and registered office at Level 3A, 4th Floor, First International Financial Centre, Plot Nos C-54 and C-55, G Block, Near CBI Office, Bandra Kurla Complex, Bandra (East), Mumbai 400098, Maharashtra, India (Phone No: +91-22-68421401).
- For details of Associates (i.e., affiliates/group companies) of SCB India, kindly email MUM-BERNSTEIN-InCompliance@bernsteinsg.com.
- SCB India does not have any disciplinary history as on the date of this report.
- Except as noted above, SCB India and/or its Associates (i.e., affiliates/group companies), the Research Analysts authoring this report, and their relatives
  - do not have any financial interest in the subject company
  - do not have actual/beneficial ownership of one percent or more in securities of the subject company;
  - is not engaged in any investment banking activities for Indian companies, as such;
  - have not managed or co-managed a public offering in the past twelve months for any Indian companies;
  - have not received any compensation for investment banking services or merchant banking services from the subject company in the past 12 months;
  - have not received compensation for brokerage services from the subject company in the past twelve months;
  - have not received any compensation or other benefits from the subject company or third party related to the specific recommendations or views in this report; and

- do not currently, but may in the future, act as a market maker in the financial instruments of the companies covered in the report.

- do not have any conflict of interest in the subject company as of the date of this report.

- Except as noted above, the subject company has not been a client of SCB India during twelve months preceding the date of distribution of this research report. Neither SCB India nor its Associates (i.e., affiliates/group companies) have received compensation for products or services other than investment banking, merchant banking or brokerage services from the subject company in the past twelve months.

- The principal research analyst(s) who prepared this report, members of the analysts' team, and members of their households are not an officer, director, employee or advisory board member of the companies covered in the report.

- Our Compliance officer / Grievance officer is Ms. Rupal Talati, who can be reached at +91-22-68421451, or MUM-BERNSTEIN-InCompliance@bernsteinsg.com / Scbin-investorgrievance@bernsteinsg.com

- The Research investor charter and Terms & Conditions of SCB India are available on its website and may be accessed at Sanford C. Bernstein (India) Private Limited (https://bernsteinresearch.in/) for your reference.

- Disclaimer: Registration granted by SEBI, and certification from NISM, is in no way a guarantee of performance of the intermediary or provide any assurance of returns to investors. Investments in securities market are subject to market risks. Read all the related documents carefully before investing.

To our readers in Switzerland: This document is provided in Switzerland by or through Bernstein Autonomous LLP, and is provided only to qualified investors as defined in article 10 of the Swiss Collective Investment Scheme Act ("CISA") and related provisions of the Collective Investment Scheme Ordinance and in strict compliance with applicable Swiss law and regulations. The products mentioned in this document may not be suitable for all types of investors. This document is based on the Directives on the Independence of Financial Research issued by the Swiss Bankers Association (SBA) in January 2008.

To our readers in the Middle East: Bernstein Autonomous LLP, DIFC branch has its principal office at Gate Village 06, DIFC, Dubai, UAE. Bernstein Autonomous LLP, DIFC branch is regulated by the Dubai Financial Services Authority (DFSA) with the registration number CL10040 and is provisioned for Arranging Deals in Investments and Advising on Financial Products. All communications and services are directed at Professional Clients and Market Counterparties only (as defined in the DFSA rulebook). Persons other than Professional Clients and Market Counterparties, such as Retail Clients, are not the intended recipients of our communications or services.

LEGAL

All research publications are disseminated to our clients through posting on the firm's password protected websites, bernsteinresearch.com and autonomous.com. Certain, but not all, research publications are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience.

This publication has been published and distributed in accordance with the Firm's policy for management of conflicts of interest in investment research, a copy of which is available from Bernstein Institutional Services LLC, Director of Compliance, 245 Park Avenue, New York, NY 10167. Additional disclosures and information regarding Bernstein's business are available on our website www.bernsteinresearch.com.

The securities described herein may not be eligible for sale in all jurisdictions or to certain categories of investors where that permission profile is not consistent with the licenses held by the entities noted herein. This document is for distribution only as may be permitted by law. This publication is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of, or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or which would subject any of the entities referenced herein or any of their subsidiaries or affiliates to any registration or licensing requirement within such jurisdiction. This publication is based upon public sources we believe to be reliable, but no representation is made by us that the publication is accurate or complete. We do not undertake to advise you of any change in the reported information or in the opinions herein. This publication was prepared and issued by entity referred to herein for distribution to eligible counterparties or professional clients. This publication is not an offer to buy or sell any security, and it does not constitute investment, legal or tax advice. The investments referred to herein may not be suitable for you. Investors must make their own investment decisions in consultation with their professional advisors in light of their specific circumstances. The value of investments may fluctuate, and investments that are denominated in foreign currencies may fluctuate in value as a result of exposure to exchange rate movements. Information about past performance of an investment is not necessarily a guide to, indicator of, or assurance of, future performance.

This report is directed to and intended only for our clients who are “eligible counterparties”, “professional clients”, “institutional investors” and/or “professional investors” as defined by the aforementioned regulators, and must not be redistributed to retail clients as defined by the aforementioned regulators. Retail clients who receive this report should note that the services of the entities noted herein are not available to them and should not rely on the material herein to make an investment decision. The result of such act will not hold the entities noted herein liable for any loss thus incurred as the entities noted herein are not registered/ authorised/ licensed to deal with retail clients and will not enter into any contractual agreement/arrangement with retail clients. This report is provided subject to the terms and conditions of any agreement that the clients may have entered into with the entities noted herein. All research reports are disseminated on a simultaneous basis to eligible clients through electronic publication to our client portal.

The information in this report was prepared by Bernstein solely for the internal business use of our clients. Clients may store, display, analyze, reformat and print the information in this report for this limited use only. Clients may not copy, alter, create derivative works, resell, reverse engineer, commercially exploit, share or distribute any part of the information contained herein for any purpose without Bernstein’s express written consent. These restrictions include extracting data or using the content to develop indices or other products. Further, you may not use this report, or any portion of this report, to train or finetune any third-party machine learning or artificial intelligence system, or as a prompt or input into any such system. You also may not, without Bernstein’s express written consent, do any of the foregoing in connection with your own internal machine learning or artificial intelligence system.

Bernstein may use artificial intelligence tools in the preparation of its materials. Any such materials are reviewed by Bernstein’s research analysts prior to publication.

This report has been prepared for information purposes only and is based on current public information that we consider reliable, but the entities noted herein do not warrant or represent (express or implied) as to the sources of information or data contained herein are accurate, complete, not misleading or as to its fitness for the purpose intended even though the entities noted herein rely on reputable or trustworthy data providers, it should not be relied upon as such. Opinions expressed are the author(s)’ current opinions as of the date appearing on the material only and we do not undertake to advise you of any change in the reported information or in the opinions herein.

Any references to Societe Generale herein are purely factual, based upon publicly available information, and included for comparative purposes only. They do not constitute an opinion or recommendation with respect to the securities of Societe Generale.

This publication was prepared and issued by the entity referred to herein for distribution to eligible counterparties or professional clients. The information in this report is intended for general circulation and does not constitute an offer to buy or sell any security, investment, legal or tax advice nor a personal recommendation, as defined by any of the aforementioned regulators. It does not take into account the particular investment objectives, financial situations, or needs of individual investors. The report has not been reviewed by any of the aforementioned regulators and does not represent any official recommendation from the aforementioned regulators. The investments referred to herein may not be suitable for you. Investors must make their own investment decisions in consultation with advice sought from a financial adviser regarding the suitability of the investment product, taking into account the specific investment objectives, financial situation or particular needs of any recipient of the recommendation, before the recipient makes a commitment to purchase the investment product.

The analysis contained herein is based on numerous assumptions. Different assumptions could result in materially different results. The information in this report does not constitute, or form part of, any offer to sell or issue, or any offer to purchase or subscribe for shares, or to induce engagement in any other investment activity. The value of any securities or financial instruments mentioned in this report may fluctuate subject to market conditions. Information about past performance of an investment is not necessarily a guide to, indicative of, or assurance of future performance. Estimates of future performance mentioned by the research analyst in this report are based on assumptions that may not be realized due to unforeseen factors like market volatility/fluctuation. In relation to securities or financial instruments denominated in a foreign currency other than the clients’ home currency, movements in exchange rates will have an effect on the value, either favorable or unfavorable. Before acting on any recommendations in this report, recipients should consider the appropriateness of investing in the subject securities or financial instruments mentioned in this report and, if necessary, seek independent professional advice.

The securities described herein may not be eligible for sale in all jurisdictions or to certain categories of investors where that permission profile is not consistent with the licenses held by the entities noted herein. This document is for distribution only as may be permitted by law. It is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or would subject the entities noted herein to any regulation or licensing requirement within such jurisdiction.